We also need to aggressively promote exports of goods and services in an ever so highly competitive global marketplace. This alone would lead to a strong edifice for sustained growth and creation of productive employment. These were the very aims for which the Government of India mooted the Special Economic Zone (SEZ) Policy in April 2000 which was further concretised through the SEZ Act 2005 and the SEZ Rules 2006 policy.

The concept of SEZ is not a new one and it is an improvement to the concept of Export Processing Zones. India was *one of the first* in Asia to recognize the effectiveness of the Export Processing Zone (EPZ) model in promoting exports, with ***Asia's first*** EPZ set up in Kandla in 1965 – seven more EPZs were set up thereafter. However, the EPZs were not able to emerge as effective instruments for export promotion on account of multiplicity of controls and clearances, absence of world-class infra-structure, and an unstable fiscal regime. In order to overcome these shortcomings and attract larger foreign investments in India, the SEZ Policy was announced in April 2000. This policy was intended to make *SEZs an engine for economic growth* supported by quality infrastructure complemented by an attractive fiscal package, both at the Centre and the State level, with the minimum possible regulations.

What is SEZ?

SEZ, or Special Economic Zone, is essentially an industrial cluster meant largely for exports. An SEZ is governed by a special set of rules aimed at attracting direct investment for export-oriented production. SEZs, earlier known as Export Processing Zones or Free Trade Zones, are *duty free enclaves* which are treated as *foreign territory* only for trade operations, duties, tariffs and typically marked by the best infrastructure and least red tape. Other salient features of SEZs are:

- manufacturing or service activities are allowed;
- full freedom for sub-contracting;
- no routine examination by customs authorities of export/import cargo;
- units in SEZs have to become net foreign exchange earners within three years; and